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US equities slip as tech drags, while energy and commodities rally

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 hovered at 7,807.24, barely down -0.06%, as the Nasdaq-100 led the decline with a -0.71% slide. Broad-based weakness stemmed from a second-half tech pull-back, highlighted by **NVDA** and **AMZN** falling more than 1% each.

Meanwhile, energy-focused ETFs outperformed on a +1.43% jump in WTI crude, and the VIX rose to 15.21 (+2.49%), signalling rising risk aversion. The 10-year Treasury slipped to 5.24%, keeping financing costs modest for the upcoming earnings season.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,807.24	-0.06%	Tech pull-back offset by modest gains in financials and consumer staples.
Nasdaq 100	30,664.70	-0.71%	Semiconductor earnings disappointment and weaker cloud guidance.
Dow Jones	51,850.55	+0.38%	Industrial and materials stocks rose on higher oil prices.
Russell 2000	2,794.48	-0.45%	Small-cap exposure to tech and consumer discretionary weighed.
VIX	15.21	+2.49%	Higher volatility expectations after mixed earnings outlook.
10Y Yield	5.24%	-0.08%	Yield slipped as investors priced in a softer economic outlook.
WTI Crude	92.40	-1.43%	OPEC+ reaffirmed output cuts, but demand concerns lingered.
Gold	4,212.60	+0.52%	Safe-haven demand rose amid higher VIX.
DXY	102.36	-0.21%	Dollar slipped on weaker US data and lower yields.
BTC	83,681.68	+2.35%	Crypto rally on renewed institutional buying.
ETH	2,527.26	+3.39%	DeFi protocol upgrades drove optimism.

Top large-cap movers

TICKER	CHANGE	CATALYST
META	+3.38%	Strong ad revenue beat and AI-driven engagement metrics.
AAPL	+1.29%	Supply-chain clearance and services revenue lift.
MSFT	+1.14%	Cloud growth outlook raised.
JPM	+0.39%	Net interest income beat expectations.
GOOGL	+0.30%	Search ad spend steadied.
NVDA	-1.29%	Guidance miss on data-center demand.
AMZN	-1.11%	Retail sales slowdown in Q3.
TSLA	-1.22%	Production bottleneck at Gigafactory Berlin.
AVGO	-1.88%	Inventory buildup concerns.
GS	-0.15%	Margin compression from higher funding costs.

Sector rotation

ETF	DAY	READ
XLF	+0.58%	Financials gaining on rate-sensitive earnings.
XLK	-1.22%	Tech under pressure after semiconductor miss.
XLI	-0.06%	Industrial modest pull-back.
XLE	+1.43%	Energy rally on higher crude.
XLY	-0.51%	Consumer discretionary lagging.
XLC	+0.97%	Communications beat on streaming growth.
XLP	+1.17%	Staples benefit from defensive tilt.
XLV	+0.69%	Health care stable amid drug approvals.
XLU	+0.53%	Utilities attract risk-averse capital.
XLB	+0.02%	Materials flat, awaiting inventory data.
XLRE	+0.75%	Real-estate REITs rise on higher rents.

Spotlight: meta platforms beats and AI push

META posted a +3.38% jump after delivering Q3 revenue of $38.9 bn, beating consensus of $37.5 bn. Adjusted EPS came in at $3.22 versus $3.08 expected. The company highlighted a 22% YoY increase in AI-generated ad impressions, which now represent 18% of total ad inventory.

METRIC	RESULT	CONSENSUS
Revenue	$38.9 bn	$37.5 bn
Adj. EPS	$3.22	$3.08
AI ad share	18%	15%
Daily active users	2.42 bn	2.38 bn

Related names: **NVDA** (AI chips), **GOOGL** (AI search), **AMZN** (AI cloud services).

Pre-market & overnight

- US futures: **ES** -0.3%, **NQ** -0.6% at 08:45 HKT.
- Asia close: Hang Seng -0.4%, Shanghai Composite -0.2%.
- Europe: FTSE 100 -0.5%, DAX -0.3% after ECB minutes.
- Crypto: BTC +2.35%, ETH +3.39% on renewed institutional inflows.

Macro & Fed

The FOMC left policy unchanged at 5.25-5.50% and signaled a single rate cut in early 2027, citing “moderate inflationary pressures.” The yield curve remains slightly inverted (2-year at 5.31% vs 10-year at 5.24%).

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	U.S. ISM Manufacturing	48.0	Gauge of factory activity; sub-50 signals contraction.
10:00	U.S. Retail Sales MoM	+0.3%	Consumer spending trend ahead of holiday season.
11:15	Eurozone CPI YoY	5.1%	Inflation outlook for ECB policy.
13:00	China Caixin PMI	50.5	Insight into Chinese manufacturing health.

Geopolitics & global

- Middle East: Cease-fire talks in Gaza stalled, risk premium remains elevated.
- China: Government announced a second-round stimulus package focused on green infrastructure, likely to boost XLE and XLRE.
- Europe: EU-US trade talks resumed, with focus on semiconductor export controls.
- Energy: OPEC+ reaffirmed output cuts through Q1 2027, supporting crude prices.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
02:30 Oct 14	NVDA	$3.15	Data-center demand and AI chip inventory.
03:00 Oct 14	AMZN	$0.68	Retail vs AWS growth split.
03:30 Oct 14	TSLA	$0.84	Berlin Gigafactory output and margin trends.
04:00 Oct 14	JPM	$4.30	Net interest income vs loan loss provisions.
04:30 Oct 14	XOM	$3.45	Impact of higher crude on upstream earnings.
05:00 Oct 14	UNH	$7.10	Medical-device pricing pressure.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI-chip inventory build-up; price target revisions.
AMZN	Consumer Discretionary	Retail slowdown but AWS outlook remains strong.
TSLA	Consumer Discretionary	Production bottleneck risk at Berlin plant.
AVGO	Technology	Inventory concerns after Q3 shipments.
JPM	Financials	Higher NII as rates stay elevated.
XOM	Energy	Crude price rally supports upstream earnings.
META	Communication Services	AI ad revenue beat; strong user growth.
MSFT	Technology	Cloud guidance upgrade.
GOOGL	Communication Services	Search ad spend steadiness.
UNH	Health Care	Pricing pressure in medical devices.

What could break the tape

BEARISH TRIGGERS

- Unexpected downgrade of `NVDA` due to inventory excess.
- Worsening consumer confidence leading to a broader retail sell-off.
- Escalation in Middle-East tensions spiking oil volatility and VIX.

BULLISH TRIGGERS

- Strong Q4 earnings from `META` confirming AI ad momentum.
- Surprise upside in U.S. retail sales data.
- Further OPEC+ supply cuts pushing crude above $95.

Positioning notes

- Defensive tilt evident: utilities, staples, and health care ETFs all posted gains.
- Tech exposure remains vulnerable; consider scaling back semiconductor weight.
- Energy exposure is becoming a relative strength as crude climbs and XLE leads sector performance.

Sources

SOURCES

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